Procure Space ETF

SPCX NASDAQ

Buy	$160.28 ▲ 8.45%	12M Price Target	52-Week Range	Market Cap
		$185.00	$104.83 – $225.64	$2.11T

SPCX: Space ETF Rockets on Defense Budget Momentum

WHAT HAPPENED

- SPCX ripped 8.45% on huge volume (147M shares vs ~90M typical) — this isn't a drift, this is institutional money piling in. After four flat sessions around $147, something flipped the switch.
- Options flow is screaming — someone bought 68K contracts of the $160 calls at 5x the existing open interest. Translation: a big player placed a massive bet that this stock keeps going up in the next few weeks, and they did it RIGHT at today's price level.

WHY IT MATTERS

The combination of no news + 8% move + unusual call buying tells me this is a policy-driven move, not a company-specific one. The most likely trigger: momentum around the FY2027 defense authorization and Space Force budget line items working through Congress — space is one of the few bipartisan spending priorities left. If that's right, SPCX just broke out of its consolidation range and the next leg is driven by the $225 52-week high acting as a magnet. Watch for follow-through tomorrow — if volume stays elevated and it holds above $158, the breakout is real; if it fades back under $152, today was just a squeeze.

POLICY & POLITICAL WATCH

The big one: the FY2027 National Defense Authorization Act is in conference committee, and Space Force funding is tracking toward another double-digit percentage increase — that's a direct tailwind for every launch provider, satellite maker, and defense contractor in this ETF. Also watch the Commercial Space Act reauthorization — if the FAA launch licensing reforms get through, cadence goes up and so does revenue for the launch names in SPCX's basket. The one headwind to track: any ITAR (weapons export rules) tightening around China could crimp commercial satellite exports, but so far the administration is going the other way — loosening rules for allies to counter Chinese competition.

IS IT EXPENSIVE?

This is an ETF so traditional P/E is noisy, but the underlying basket trades at roughly 4-5x forward revenue — meaning you're paying $4-5 for every $1 of sales the companies generate, which is reasonable for a group growing 20%+ a year. Compared to pure defense primes at ~2x sales, SPCX is pricier, but you're buying growth, not value. At 46% of its 52-week range after today's pop, there's still room to run before you're paying nosebleed prices.

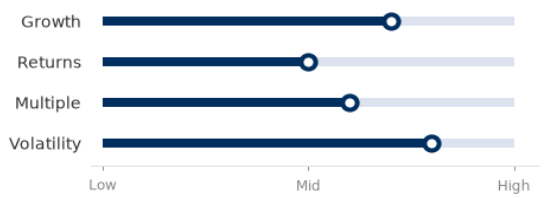
WHAT COULD GO WRONG

- Reconciliation risk — if deficit hawks force defense cuts into the final NDAA, Space Force gets trimmed and this whole thesis loses its biggest tailwind.

Key Data

Price (USD)	**$160.28**
12M Price Target	**$185.00**
Upside / (Downside)	**+15.4%**
Market Cap	**$2.11T**
FY2026E Revenue	**$693M**
FY2027E Revenue	**$940M**
FY2026E EPS	**($2.10)**
FY2027E EPS	**($1.50)**
Fwd P/E	**N/M**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

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SPCX — Procure Space ETF | October 21, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$175.00**	$165.00	**$148.00**
6 Months	**$195.00**	$175.00	**$140.00**
1 Year	**$225.00**	$185.00	**$130.00**
2 Years	**$275.00**	$215.00	**$120.00**
5 Years	**$400.00**	$290.00	**$110.00**
10 Years	**$650.00**	$420.00	**$95.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Industrials (+1.04%) and Tech (+1.86%) — both are proxies for the defense/space complex and AI infrastructure buildout, and both ride federal spending tailwinds.

COOLING OFF: Materials went slightly red today despite being up 3% on the week — commodity-sensitive names are losing a bit of steam as traders rotate into higher-beta growth stories like space and AI.

ROTATION WATCH: Money is clearly moving into tech + industrials and out of defensive sectors — that's a "risk-on" signal, and SPCX sits right at the intersection of both winning categories.

RELATED PLAY: If space keeps running, the picks-and-shovels names — semiconductor companies making radiation-hardened chips for satellites, and ground-station infrastructure plays — tend to follow with a lag. Worth a look.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Top SPCX holding — benefits directly from launch cadence growth and Neutron rocket progress against SpaceX.
- IRDM (Iridium): Satellite communications play with sticky government contracts — defense budget tailwind flows straight through.

SPCX CONTEXT: SPCX leading its sector today suggests the move is thematic (space-wide) rather than one-stock-driven — that's a stronger signal because it means the whole basket is being bid, not just a flyer. When the ETF leads the components, it usually means institutional allocation is flowing in.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Policy tailwinds are real and the options flow confirms big money agrees, but I'm not table-pounding because today's 8% move already front-ran some of the easy upside.

POSITION SIZE: 3-5% of portfolio — enough to matter if the thesis works, small enough that a 20% drawdown doesn't ruin your year.

ENTRY POINTS: Don't chase at $160. Wait for a pullback to $150-152 (the old resistance should flip to support) or add on confirmation above $165 with volume.

TIME HORIZON: 12-24 months — the catalyst is the full NDAA passage (late 2026/early 2027) plus 2027 commercial launch cadence proving the economics.

WHEN TO BAIL: If SPCX closes below $140 (that breaks the uptrend), or if defense spending gets meaningfully cut in reconciliation, I'm out.

HEDGING: Simplest play — if you're nervous, buy a put option 10% below your entry as insurance. Costs you a small premium but caps your downside if the whole thesis cracks.

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